
AUDITED FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2023

The Board of Directors of Britam Holdings Plc is pleased to announce the audited consolidated results for the year ended 31 December 2023.

PERFORMANCE HIGHLIGHTS

The Group has delivered impressive financial results for the year ended 31 December 2023, demonstrating significant growth and resilience across various key performance indicators.

Topline Performance:

The Group's insurance revenue increased to Shs 36.4 billion, reflecting a remarkable 41% increase from Shs 25.8 billion in 2022. This growth was primarily driven by significant growth in both the Kenya insurance businesses as well as the general insurance regional business which contributed 29% of the insurance revenue in the year.

Interest and dividend income recorded a 20% growth to Shs 15.6 billion driven by growth in revenues and the benefits of the realignment of the Group's investments portfolio to grow and stabilize yields.

Profitability:

The Group's profit before tax increased to Shs 4.82 billion, marking a significant 65% improvement from Shs 2.92 billion in the previous year. This impressive performance was underpinned by prudent cost management practices, coupled with enhanced revenue streams from both insurance and investment activities. The performance was negatively impacted by doubling of fair value losses from fixed income securities from Shs 2.3 billion to Shs 4.6 billion. The fair value losses arose from changes in the macro-economic environment which led to a significant rise in the yield curve.

Balance Sheet Strength:

The Group's balance sheet remains robust, with total equity increasing to Shs 25.7 billion from Shs 22.2 billion in the previous year. This improved equity position highlights the Group's strengthened financial position and underscores its ability to weather economic uncertainties.

Strategic Initiatives and Outlook:

The Group's strong financial performance is a testament to the effectiveness of its strategic initiatives, including customer-centricity and prudent investment strategies. Looking ahead, the Group remains committed to driving sustainable growth and enhancing shareholder value through the continued execution of its 2021-2025 strategy.

IFRS 17 Adoption Update

As previously communicated in our 2023 half-year results announcement, the Group successfully implemented IFRS 17, effective 1 January 2023. Building upon this milestone, we have integrated the principles of IFRS 17 into our financial reporting framework, ensuring compliance and transparency in our disclosures.

The adjustments arising from the IFRS 17 implementation have been made to the opening net assets as at 1 January 2022 and 2022 comparatives, in accordance with the requirements of IFRS. The implementation of IFRS 17 has not significantly impacted our business strategy, operations, cash generation, solvency, or dividend policy.

Dividends

The Board of Directors does not recommend the payment of dividends for the year ended 31 December 2023.

Statement of profit or loss and other comprehensive income

	2023 Shs'000	2022 Restated Shs'000
Insurance revenue	36,436,197	25,769,463
Insurance service expense	(26,854,848)	(20,555,206)
Net expenses from reinsurance contracts held	(5,831,125)	(2,891,568)
Insurance service result	3,750,224	2,322,689
Net income from investment properties	644,449	643,237
Interest and dividend income	15,615,953	13,007,944
Net realised gains/(losses) on financial assets at fair value through profit or loss	33,930	(5,085)
Net unrealised fair value losses on financial assets at fair value through profit or loss	(4,682,791)	(2,323,765)
Net investment income	11,611,541	11,322,331
Finance expenses from insurance contracts issued	(9,139,705)	(9,558,829)
Finance income from reinsurance contracts held	578,932	500,205
Net insurance finance expenses	(8,560,773)	(9,058,624)
Net insurance and investment result	6,800,992	4,586,396
Fund management fees	639,750	658,465
Other income	766,128	540,086
Fund management commission	(199,527)	(187,172)
Other operating expenses	(3,154,028)	(2,400,696)
Other finance costs	(247,135)	(272,917)
Profit before share of profit/loss of associates	4,606,180	2,924,162
Share of profit/(loss) of associates accounted for using the equity method	213,315	(2,760)
Profit before income tax	4,819,495	2,921,402
Income tax expense	(1,540,376)	(1,260,755)
Profit for the year	3,279,119	1,660,647
Other comprehensive income:		
Items that will not be reclassified to profit or loss	(6,795)	86,373
Items that may be subsequently reclassified to profit or loss	252,591	254,391
Total other comprehensive income	245,796	340,764
Total comprehensive income for the year	3,524,915	2,001,411
- Basic and diluted (Shs per share)	1.29	0.62

Consolidated statement of financial position

	31 Dec 2023	31 Dec 2022	1 Jan 2022
	Shs'000	Restated Shs'000	Restated Shs'000
CAPITAL EMPLOYED			
Share capital	252,344	252,344	252,344
Share premium	13,237,451	13,237,451	13,237,451
Other reserves	15,367,403	13,998,860	16,649,830
Accumulated losses	(3,408,334)	(5,541,477)	(10,091,139)
Attributable to owners	25,448,864	21,947,178	20,048,486
Non-controlling interests	239,533	216,304	113,585
Total equity	25,688,397	22,163,482	20,162,071
Assets			
Property and equipment	1,321,694	1,243,090	1,256,407
Intangible assets	726,983	983,281	1,416,165
Right of use asset	532,748	516,030	319,717
Investment in associate	2,672,874	2,528,174	1,366,027
Goodwill	1,416,635	1,416,635	1,416,635
Deferred income tax	628,317	467,556	494,636
Retirement benefit asset	252,807	223,498	160,406
Investment properties	15,992,881	15,785,792	16,597,058
Quoted ordinary shares at fair value through other comprehensive income	-	-	6,716,098
Financial assets at fair value through profit or loss	58,957,327	53,458,025	50,181,988
Financial assets at amortised cost	68,541,507	57,105,719	48,344,106
Mortgage loans and receivables	1,129,886	1,150,370	1,135,847
Insurance contract assets	-	2,198	-
Reinsurance contract assets	7,788,246	7,168,691	6,899,839
Other receivables	2,930,923	2,491,535	2,262,579
Current income tax	643,844	277,614	517,344
Restricted cash	216,417	64,140	185,203
Cash and bank balances	10,640,881	7,991,854	7,499,485
Total assets	174,393,970	152,874,202	146,769,540
Liabilities			
Deferred income tax	4,717,240	3,973,500	3,376,377
Insurance contract liabilities	133,702,453	118,190,592	106,322,835
Reinsurance contract liabilities	561,024	131,841	155,052
Lease liability	632,186	672,066	441,125
Borrowings	2,581,068	2,540,223	4,227,825
Provisions and other payables	6,176,775	5,087,136	12,050,157
Current income tax	334,827	115,362	34,098
Total liabilities	148,705,573	130,710,720	126,607,469
Net assets	25,688,397	22,163,482	20,162,071

Consolidated statement of changes in equity

Year ended 31 December 2023	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Accumulated losses Shs'000	Attributable to owners Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Balance as at 1 January 2023	252,344	13,237,451	13,998,860	(5,541,477)	21,947,178	216,304	22,163,482
Profit for the year	-	-	949,906	2,305,984	3,255,890	23,229	3,279,119
Other comprehensive loss, net of tax	-	-	245,796	-	245,796	-	245,796
Total comprehensive loss for the year	-	-	1,195,702	2,305,984	3,501,686	23,229	3,524,915
Transfer from retained earnings	-	-	172,841	(172,841)	-	-	-
Balance as at 31 December 2023	252,344	13,237,451	15,367,403	(3,408,334)	25,448,864	239,533	25,688,397

Year ended 31 December 2022 Restated	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Accumulated losses Shs'000	Attributable to owners Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Balance as at 1 January 2022, as previously reported	252,344	13,237,451	16,394,912	(10,943,574)	18,941,133	142,384	19,083,517
Impact of initial application of IFRS 17, net of tax	-	-	254,918	852,435	1,107,353	(28,799)	1,078,554
Restated balance as at 1 January 2022	252,344	13,237,451	16,649,830	(10,091,139)	20,048,486	113,585	20,162,071
Profit for the year (Restated)	-	-	1,060,994	496,934	1,557,928	102,719	1,660,647
Other comprehensive loss, net of tax (Restated)	-	-	340,764	-	340,764	-	340,764
Total comprehensive loss for the year	-	-	1,401,758	496,934	1,898,692	102,719	2,001,411
Transfer to retained earnings	-	-	(4,098,823)	4,098,823	-	-	-
Transfer from retained earnings	-	-	46,095	(46,095)	-	-	-
Restated balance as at 31 December 2022	252,344	13,237,451	13,998,860	(5,541,477)	21,947,178	216,304	22,163,482

Consolidated statement of cash flows

	For the year ended	
	2023	2022
	Shs'000	Shs'000
Cashflows from operating activities		
Cash generated from / (used in) operations	9,997,404	(2,061,102)
Income tax paid	(784,520)	(231,073)
Net cash generated from / (used in) operating activities	9,212,884	(2,292,175)
Net cash (used in) / generated from investing activities	(6,194,580)	4,968,190
Cash flows from financing activities		
Proceeds from borrowings	-	1,500,000
Repayment of bank loan	-	(3,227,521)
Interest paid	(118,961)	(217,795)
Interest paid on lease liability	(107,358)	(92,724)
Payment of the principal portion of the lease liability	(199,542)	(141,454)
Net cash used in financing activities	(425,861)	(2,179,494)
Increase in cash and cash equivalents	2,592,443	496,521
Cash and cash equivalents at start of year	7,991,854	7,499,485
Effect of exchange on cash and cash equivalent	56,584	(4,152)
Cash and cash equivalents at end of year	10,640,881	7,991,854